Confidential Information Memorandum

Machinists Inc.

February 2017

Contact:

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CONFIDENTIAL INFORMATION MEMORANDUM

This Confidential Information Memorandum (the "Information Memorandum" or the "Memorandum") has been prepared by Exvere, Inc. ("Exvere") with the assistance of and information from, Machinists, Inc. ("MI"), and is being furnished to the recipient through Exvere, as the Company's intermediary and advisory agent. MI has retained Exvere to assist it in analyzing and exploring its strategic alternatives in relation to Machinists, Inc. ("MI" or the "Company"), including a sale. This Information Memorandum is furnished solely for the purpose of providing the recipient and its representatives with general financial, operational and other information concerning the Company, for the purpose of evaluating a potential transaction.

This Information Memorandum includes certain statements, estimates and projections with respect to the historical and future performance of the Company. Such statements, estimates and projections reflect various assumptions made by the management of the Company and / or Exvere, in addition to certain information obtained from trade publications and from other sources that Exvere believes to be reliable, that may or may not prove to be accurate.

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Table of Contents

I. EXECUTIVE SUMMARY

A. INTRODUCTION

Machinists Inc. ("MI" or the "Company"), located in Seattle, Washington, is the Northwest's largest precision machining company specializing in the manufacturing of a wide array of machining products, ranging from basic components to complete manufacturing systems. The Company has been delivering solutions to complex machining problems for more than 75 years. The Company also offers an extensive range of welding and machining services that fall under three categories:

- Welding, Machining and Engineering services
- Precision Machining for large and complex parts
- Manufacturing complete assemblies

Composite Tooling, Precision Machining and Specialty Manufacturing are some of the Company's key capabilities in the categories listed above. In addition, MI provides support for major CAD and Solid Modeling Programs, including CATIA, Unigraphics, PRO-E and Solid Works.

MI has a sister concern named Puget Sound Coatings (PSC) that provides Blasting, Painting, Wheelabrating and Metalizing services. Machine parts painting for some of MI's projects is also done by Puget Sound Coatings (PSC). MI pays PSC standard market prices for these paint jobs.

The major industries that the Company serves are Aerospace, Energy, Marine, Transportation, Research Labs and Specialty Heavy Manufacturing.

The Company meets ITAR requirements, and has a certified quality control system in place.

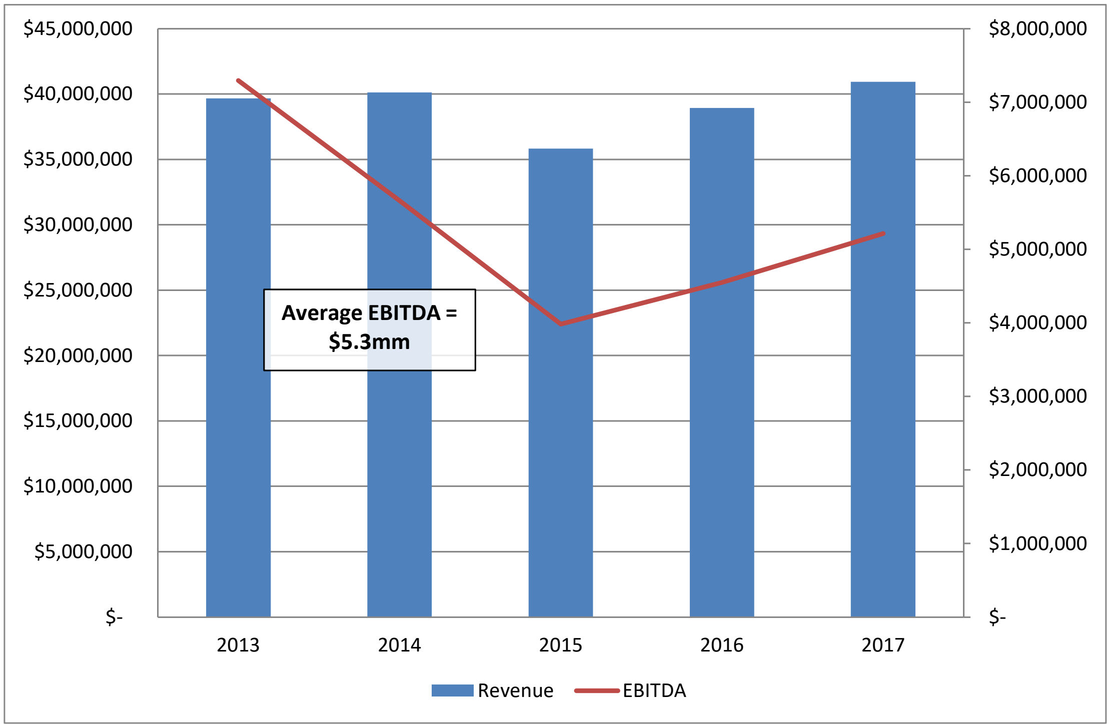
MI's multi-disciplined staff, state-of-the-art equipment and ISO 9001 certified production facilities position it ideally to meet a wide variety of customer needs – from component manufacturing to complete assembly build-outs. The Company's experienced management, acclaimed and accredited welding experts, skilled design & engineering professionals, and large production capacity allow it to efficiently complete schedule-driven projects at competitive pricing.

B. FINANCIAL SUMMARY

The historical financial information presented in this Information Memorandum is based upon the financial statements of the Company, prepared internally in accordance with GAAP, for the period from fiscal year 2013 to September 2016. Additionally, management has provided a forecast for FY 2017. Note that the Company's fiscal year ends 31st December.

The Company realized EBITDA (Earnings Before Interest, Taxes, Depreciation and Amortization) margins of 14.1% in FY2014, 11.1% in FY2015, and 11.7% in FY2016, on revenues of $40.1mm, $35.8mm, and $38.9mm respectively.

Management is projecting revenue for FY2017 of $40.9mm, with EBITDA of $5.2mm.



C. TRANSACTION SUMMARY

Machinists Inc. is exploring a sale of its business to a buyer who can utilize the Company's existing capabilities and enable the Company to capitalize on its identified growth potential.

The existing business infrastructure is more than capable of supporting projected near term growth. Additional sales & marketing expertise could enable the Company to further leverage its expertise as a precision machining shop. With more sales personnel, MI would be able to add to its present clientele in sectors like Space, Civil Infrastructure, Nuclear and Defense. More marketers would also help MI rapidly develop markets for its products and services beyond the west coast.

MI's acquirer could benefit from investing on the development of in-house design capabilities. This would give the Company greater control over designing and allow it to complete most design jobs in-house. Investments may also be made on hiring additional machinists and a focus on the development of repeatable products.

Potential buyers for MI may include:

- Companies looking for a strategic access to major international clients, such as Boeing, Farwest Steel, and Terex; that are already MI's clients
- Companies producing commodity products and looking for capacity expansion
- Engineering firms looking to integrate by expanding into manufacturing
- Tooling companies looking to diversify into additional tool categories

All contracts with customers, suppliers, and distributors will be transferred to the acquirer upon the sale of the Company.

A proposed timetable to the closing of the transaction is set out below.

Events	Date
Receipt of Indications of Interest	April 24, 2017
Receipt of Letters of Intent	May 19, 2017
Sign Letter of Intent	June 1, 2017
Transaction Close	July 31, 2017

D. INVESTMENT CONSIDERATIONS

Among the key strategic investment considerations are the following:

Broad Machining Capabilities	MI's capabilities range from manufacturing small machining components to assembling entire manufacturing systems. The Company has expertise in designing, prototyping and fabricating several types of heavy industrial equipment.
Experienced and Certified Employees	The Company has trained and certified personnel that have years of experience of handling a vast array of designing, fabricating, machining and repair / replacement jobs. MI's welders conform to AWS and ASME standards; and are certified under the Certified Welder (CW) program.
Strong Brand Name	MI has been in the machining business for over 50 years, and has developed a strong brand name for itself. The Company is renowned throughout the Northwest for its high-quality products, commitment to customer service and ability to deliver complex projects under tight deadlines.
Strategic Customer Relationships	MI's superior products and impressive project delivery record has allowed it to build long-standing relationships with some of the top global organizations. The Company's clientele includes organizations like Boeing, Farwest Steel, GE Aviation, Lawrence Livermore and Lockheed Martin.
Advanced Quality Management Systems	The Company employs advanced quality control systems to ensure that its products conform to applicable industry standards. The Company's quality management system maintains independent third party registration and certification in accordance with ISO 9001:2008. MI's QA inspectors are often assigned to work directly with customers on the development of robust and repeatable inspection methods.

II. BUSINESS OVERVIEW

A. INTRODUCTION

Machinists Inc. is the Northwest's largest precision machining company that provides end to end machining and welding solutions. The Company's capabilities include manufacturing complex machining components and providing end-to-end manufacturing system solutions, including prototyping, building, installing and testing.

Machinists Inc. at a glance:

Industry	Machine Shop Services
Ownership	Hugh and Tracy LaBossier – 90% Hugh and Tracy's children – 10%
Location	Seattle, Washington
Number of Facilities	7
Net Sales	$33.05 million (2016)
No. of Employees	200
NACS	NACS # 332900 – Other Fabricated Metal Product Manufacturing

The Company has an operating history of more than 50 years and has largely served clients in Aerospace, Energy, Marine, Transportation, Research Labs and Specialty Manufacturing industries.

A list of products and services that MI provides to its key client's industries is as follows:

Aerospace • Mandrels and forming equipment for composite molds • Composite tooling and fixtures • Tooling for composite parts • Landing gear strut	**Energy** • Precision components • Hubs for wind turbines • Valves • Machining of spent-fuel container for the nuclear industry • Critical repairs
Marine • Marine propulsion systems • Critical repairs • Fabrication and machining of hull sections • Small intricate fabrications • Marine fuel systems	**Research Labs** • Producing components and fixtures • Installation of Bubbler technology to accelerate processing of radioactive waste • Manufacturing critical lab projects
Transportation • Parts for expansion joints • Parts and assemblies for State ferry vessels • Transit station components and track support hardware • Inspection and repair of Monorail	**Specialty Manufacturing** • Arms, pivots, and chassis parts • Custom material-handling system • Precise fabrications • Seafood processing lines aboard factory ships • Heavy equipment repair

MI's clients include renowned global companies, such as Boeing, GE Aviation, Terex, General Dynamics, Lawrence Livermore Labs, Lockheed Martin, Northrop Grumman, and Raytheon.

MI has a sister company, Puget Sound Coatings (PSC), that is also owned by Hugh and Tracey LaBossier. PSC provides Blasting, Painting, Wheelabrating and Metalizing services to companies across industries. PSC also provides machine parts painting services for MI's projects, for which PSC bills MI at standard market rates.

MI is organized as a C-Corporation.

The Company is based in Seattle and has seven plants with over 100,000 sq. ft. of combined floor space. The facilities house MI's engineering, design, and manufacturing operations, as well as the Company's administrative personnel. The Company's facilities are ISO 9001 certified and have advanced quality control systems in place. MI has established a strong reputation for its short turnaround times and high-performance products. The Company's impressive delivery record has helped it develop long-lasting relationships with its customers.

Additional information on MI may be obtained from the Company's website, at http://www.machinistsinc.com/about.html

Company History and Key Milestones

1941: **Machinists Inc. is founded**
Machinists Inc. is founded by Ralph LaBossier as a repair shop catering to industries in the greater Seattle area. MI's Primary jobs include pump repair work, shaft repair for the marine industry, printing press repair and manufacture of print rolls.

1970's: **Adds new capabilities**
The Company adds sandblast and painting capabilities. These capabilities allow MI to diversify into metalizing services.

1981: **Acquires Jensen Machine**
MI acquires Jensen Machine and renames it 'Production Machining Inc.' The acquisition allows MI to venture into CNC Machining.

1988: **Engages with Boeing and Terex**
MI purchases its first new CNC Machine and starts doing work for Boeing and Genie Industries (Now Terex). The Company also intensifies its focus on the Fabrication division.

1991: **Acquires Puget Sound Coatings**
MI acquires Puget Sound Coatings (PSC) and sets it up as a separate group entity. The acquisition allows the Company to take on large painting projects and to move its in-house Painting division out of its Machining division.

B. KEY OFFERINGS

MI's offerings can be categorized into Manufacturing Systems, Specialized Skills and Other Services. Following are the major products and services offered under these categories:

Key Offerings

Manufacturing Systems

- Composite Tooling
- Integrated Systems
- Aerospace Tooling

Specialized Skills

- Metal Fabrication and Welding
- CNC Turning
- Large Machining
- Horizontal & Vertical Boring
- 5-Axis Machining

Other Services

- Inspection
- Finishing
- Logistics

<u>Manufacturing Systems:</u>

Composite Tooling: MI produces a wide range of composite tooling – from patterns & plugs to production molds. The Company's large 5-axis milling work envelopes allow it to manufacture molds and fixtures from various materials. These tools can be customized to meet specific customer needs and suit different manufacturing processes.

MI has proven experience in creating complex tooling using carbon fiber technology. The Company's molds and fixtures are predominantly used for milling, drilling and assembly purposes. These molds and fixtures can be used together with fuselage mandrels, engine nacelles, wing tooling and aircraft frames.

Integrated Systems: MI provides Turnkey integrated system services for the design, build, storage and delivery of multiple components and large projects. The Company's Integrated Systems range from small production line lifts to large carbon fiber tape laying machines.

The Company's major integration systems projects include the construction of automated Petro-Chemical processing lines that involve heavy duty equipment; and the construction of Ultra Clean processing lines for the Food Processing industry. The Company also provides finished product storage facility for large projects until the project is delivered to the client.

Aerospace Tooling: MI manufactures assembly line equipment (both, plant & moving), fixtures, stands, composite tools and composite molds for the Aerospace industry. The Company also designs & fabricates trunnion mounted frames, vacuum milling fixtures and others for CNC Machining, robotic welding, automatic presses, inspection applications and assembly processes, from small fixtures to large automated solutions.

MI offers electro-hydraulics, programmable logic controls and motion control analysis, according to each project's unique tolerance requirements. MI also provides factory level integration.

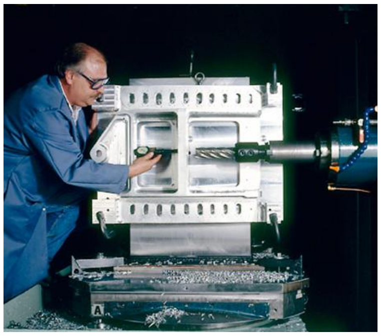
Specialized Skills:

Metal Fabrication and Welding: Metal Fabrication and Welding is one of MI's core competencies. The Company operates in the premium segment of the Fabrication & Welding Market, where it designs and fabricates high-end industrial equipment that has complex shapes and geometries. The Company designs & fabricates customized one-of-a-kind fabricated products; as well as works on ongoing production assignments. To ensure product quality, all equipment that MI welds is tested by the Company's in-house Certified Welding Inspectors.

CNC Turning: MI's Lathes regularly provide CNC shaft turning for diameters of up to 100 inches and can handle shafts up to 45 feet long. MI's quick response on CNC turning keeps its customer's ships in water with minimum downtime.

MI is equipped with large shaft turning production runs of many parts on their CNC turning equipment. The Company also manufactures urgently needed single shafts on their large Lathes. MI offers flexibility in manufacturing customized equipment within the prescribed schedule to meet its customers' needs.

Large Machining: MI uses several CNC 5-axis mills with very large working envelopes as well as many CNC vertical and horizontal mills. At MI, the team of professionals meets customer requirements with all necessary large machining and prototype machining equipment. MI uses a full range of CNC Vertical mills with very wide working envelopes. The vertical mills are used for production runs of precision large complex parts. Horizontal mills are capable of handle parts up to 20,000 lbs.



Horizontal & Vertical Boring: Machinists Inc's vertical and horizontal boring mill machines can handle parts weighing as much as 20,000 lb. Flexibility and accuracy is the hallmark of the Company's machinists with exceptional machines. Their vertical and horizontal boring mills are capable of producing parts in extensive configurations.

MI operates many large, manual and CNC, vertical and horizontal boring mills. They are part of the flexibility MI uses in solving difficult manufacturing problems. When combined with a wide array of other advanced equipment and manufacturing experience, MI can successfully complete the most difficult machining projects.

5-Axis Machining: MI executes projects for many industries, especially the high-tech, precision-dependent worlds of optical equipment, medical devices, satellites, aircraft, and aerospace. 5-Axis Machining is used in die making, mold making, and for producing parts where holes or features are at angles that require multiple setups.

A 5-Axis milling machine has two additional axes of motion. The two additional axes are rotary and allow the mill to reach areas not possible with a 3-axis machine. 5-Axis machining is a means to speed manufacturing ability and increase repeatable accuracy. The ability of the 5-Axis machining process to create complex shapes in a single setup reduces tooling cost and labor time, resulting in better precision.

Other Services:

Inspection: MI engages with clients on a contractual basis to perform extensive audits for compliance with NQA-1 (Nuclear Facility Applications). MI's QA inspectors go beyond the conventional approach for performing audits and work with customers to develop robust and repeatable inspection methods.

Magnetic Particle and Dye Penetrant Inspections are performed in-house through an NAS410 and ASNT TC1A system. These audits are only conducted by MI-certified Level III inspectors.

Finishing and Painting: MI's finishing services include blasting, painting, wheelabrating and Metal Coatings. Coating applications extend to epoxies, plural components, and metalizing with ferrous, non-ferrous and metal alloys. MI's blasting and painting facilities include two blast rooms, three heated paint booths and fine finishing paint booths.

MI frequently delegates its Finishing and Painting jobs to PSC that has specialists to handle such jobs. Services that are typically delegated to PSC include Blasting, Painting, Wheelabrating, Metalizing and Tape Wrapping.

Logistics: MI's plants, with a total lay-down space of 3.5 acres, have all the necessary equipment and logistics to handle clients' large scale and multi-parts project requirements. The Company has a forklift capacity of 65,000-pounds and has storage facility to inventory the products until needed. MI's has a sizeable truck fleet that facilitates timely pickup of raw materials and delivers of finished parts to the clients' location, resulting in quick project turnaround times.

C. OPERATIONAL DETAILS

Facility Overview:

The Company operates six facilities in Seattle, Washington with a total area of more than 100,000 sq. ft. The facilities house various welding shops, machine shops and assembly lines for machined parts. MI's manufacturing process starts from Welding shop where various metal parts are joined together based on product design. The welded product then moves to Machine shop and finally to Assembly line where the final product is rolled out. The Company can scale up production as needed.

MI is ISO 9001 certified and has advanced quality control systems in place to ensure high product conformance.


QAS International

REGISTRATION CERTIFICATE

This document certifies that the administration systems of

Machinists Inc.

7600 5th Avenue South, Seattle, Washington 98108

have been assessed and approved by QAS International to the following management systems, standards and guidelines:

ISO 9001:2008

With the permitted exclusion of clause 7.3 Design and Development

The approved administration systems apply to the following:

The manufacture and fabrication of precision machined tooling and customer engineered products.

Original Approval 12th July 2010
Current Certificate 12th July 2013
Certificate Expiry 12th July 2014
Certificate Number A3230US

Signed: Certification Officer

On behalf of QAS International

Facility Details:

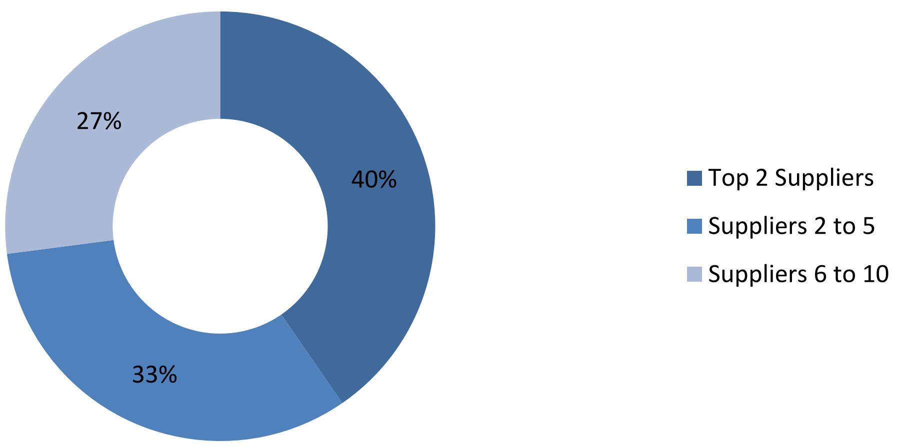
Name	Primary Usage	Area (Sq. ft.)*	Ownership
Fabrication Shop	Fabrication and Maintenance	23,600	Leased
Plant 1 / Plant 2B	Machine Shop ; Assembly & Administration	25,000	Leased
Plant 2A	Machine Shop	24,000	Leased
Plant 3	Assembly	10,325	Leased
Plant 4	Machine Shop and Assembly	11,664	Leased
PSC - Seattle	Painting	60,000 (bldg.)	Leased
PSC - Auburn	Painting	24,000	Leased

**The combined covered storage spread across the facilities is in excess 100,000 sq. ft.*

Purchases:

The major materials required by MI to produce its products are steel, aluminum and titanium alloys. MI makes the required purchases from a diversified group of suppliers and is not dependent on any one supplier. There is no concern with respect to suppliers as there are many suppliers for these materials. The top 10 suppliers of raw materials to MI and their percentage wise breakup for the year 2016 are shown below:

Top 10 Suppliers Breakup (2016)



Sales and Marketing:

MI strives to deliver the highest levels of customer service and work quality to its clients. Due to its customer-orientation and commitment to quality, most of MI's revenues come from repeat business each year. The Company's customer-centric approach also results in regular client referrals and word of mouth marketing from its clients.

Under project-specific initiatives, MI bids directly for tender-based projects, as well as approaches clients for one-to-one discussions on negotiation-based projects. Tender-based bidding can be highly competitive due to the presence of several bidders. MI is usually successful on projects where quality and on-time delivery are the key requirements.

To give the Company a good chance of winning these projects, the sales team directly involves itself in the bidding process. As a result of their involvement, MI wins approximately 25% of the projects where it submits a bid.

The average project revenue for the Company is $500,000. The Company gets a significant amount of projects from repeat customers. Moreover, 20-25% of the business received by the Company is repeat orders for earlier products. During recessions, the Company expects a dip in new sales but this has been historically offset by increased repair work projects.

D. CLIENT INDUSTRIES

MI has a diverse base of loyal customers, spanning multiple industries. Some of MIs key client industries are:

Aerospace:
Aerospace is one of the major highest revenue generating industries for MI. MI provides testing fixtures and assembly tooling & fixtures for many types of aircraft. The Company uses lasers for precision in their work for creating specialized tools for aircraft assembly. MI also provides training to the client company's operators for the smooth functioning of the projects.

MI's aerospace tooling team includes experts in electro-hydraulics, programmable logic controls and motion control analysis. Due to the diverse capabilities of its aerospace team, the Company understands the specific intricacies of each project and can efficiently respond to each project's unique tolerance requirements.

Energy:
MI's work in the energy sector largely comprises performing critical repairs, developing prototypes and manufacturing key equipment. MI has successful completed numerous projects in the Wind, Solar, Hydro and Nuclear energy segments. The Company's facilities meet the quality assurance requirements for nuclear facility applications, and are NQA-1 certified.

Marine:
MI provides critical repairs, fittings and seafood processing line installation services to companies in the Marine sector. MI can provide these services in-shop as well as on the field. MI is credited with the fabrication and machining of stainless steel components for Nautican's high efficiency nozzles and triple rudders for propulsion of tugs, ATBs and specialty vessels. The Company's other projects include producing high performance critical marine fuel systems, submarine hulls and tactical equipment for underwater vehicles. The Company is a qualified supplier to the Department of Defense (DOD) and is registered under the Central Contract Registry (CCR).

Research Labs:
MI manufactures components & fixtures and provides equipment installation services for research labs. MI's clients in the Research Labs space include Lawrence Livermore National Labs, Los Alamos National Labs, Argon National Labs and The Department of Energy; among many others. MI's flagship projects in the Research Labs space include the installation of bubbler technology at the Department of Energy's Savannah river site; National Ignition Facility, the world's largest laser; and T-REX, a nuclear materials detection system.

Transportation:
MI supplies parts and technologies for the construction of bridges, ferry ramps and roads. The Company's services to the Transportation industry include supplying parts for expansion joints, parts and assemblies for State ferry vessels, fabricated assemblies for the construction and repair of state highway signs, and transit station components.

Specialty Manufacturing:

MI's engineers have experience of completing a diversity of manufacturing projects, including manufacturing of food processing lines, construction equipment and water jet cutting systems. MI has also machined and assembled equipment and machinery required for under water drilling, exploration and petrochemical projects.

E. QUALITY & CERTIFICATIONS

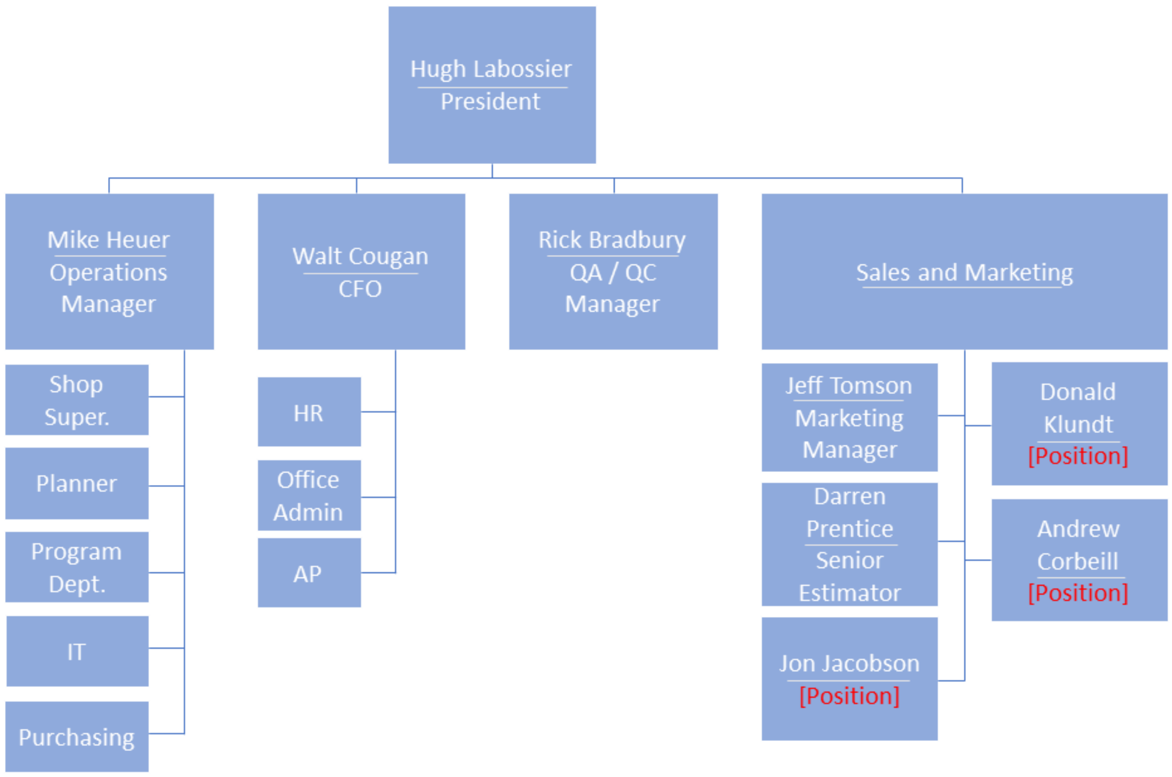
	International Organization of Standardization	MI is ISO 9001 certified conforming to the quality requirements of the organization.
	Department of Defense	The Company is registered in the Central Contract Registry (CCR) for direct business with Department of Defense (DOD).
	American Welding Society	MI welders and welding procedure qualifications conform to AWS and/or ASME standards and are certified by In-house Certified Welding Inspectors. The MI welding program is managed by a Materials/Welding Engineer who is also a CWI and life member of AWS.
	American Society of Mechanical Engineers	The Company is ASME Nuclear Quality Assurance (NQA-1) certified for conformance with quality standards requirements for Nuclear Facility Applications.
ITAR	**International Traffic in Arms Regulations**	The Company is registered with the Department of State and is ITAR compliant.
NAS410 and ASNT TC1A	**National Aerospace Standard**	Magnetic particle and dye penetrant Inspections are done in-house by inspectors certified by the MI Level III through an NAS410 and ASNT TC1A system.

F. MANAGEMENT AND EMPLOYEES

The Company has 200 full-time employees which include the Management, Technical and Sales staff. None of the employees of the Company are unionized. The following chart is the employee breakdown by department.

Function	No. of Employees
Administration	12
Sales	9
Indirect	28
Supervisory	13
Fabrication	24
Machinists & Assembly	73
Sand Blast & Paint	31
Total	**200**

Organization Structure



Key Management Profiles

Hugh LaBossier President	• 1992-Present: General Manager / President, Machinists Inc. • 1989-1992: Sales, Machinists Inc. • 1988-1989: Project Manager, Machinists Inc. • 1987-1988: Accounting Department, Machinists Inc. • 1986: Completed Yale BA in Economics
Walt Cougan CFO	• Manages all accounting functions, including HR, insurance, banking, tax planning and permitting activities. • 1995-Present: CFO, Machinists Inc. • 1979-1995: Practicing CPA.
Mike Heuer Operations Manager	• Oversees all operations of Machinists Inc, including shop scheduling, planning programming, purchasing and marketing support. • 2004-Present: Operations Manager, Machinists Inc. • 1998-2004: Machine Shop Superintendent, Machinists Inc. • 1988-1998: Plant 1 Superintendent, Machinists Inc. • 1984-1988: Machine Shop Lead, Machinists Inc. • 1976-1984: Machinist, Machinists Inc.
Jeff Tomson Marketing Manager / Sales	• Responsible for coordinating the website, print, and digital media, trade organizations and sales support. Accounts include Boeing, Northrup Grummen, and Nautican. • 2008-Present: Marketing Manager, Machinists Inc. • 2003-2008: VP of Marketing, Pacifica • 1999-2003: Marketing, Pacific Aerospace
Darren Prentice Senior Sales Estimator	• Lead estimator for the Boeing and General Atomics, in addition to general sales support on large projects. • 2004-Present: Senior Sales Estimator, Machinists Inc. • 1998-2004: Sales and Production, Precision Pattern
John Galbraith Senior Sales Estimator	• Lead estimator for Lockheed Martin, Blue Origin, Space X, Omax and Flow. • 1988-Present: Estimator, Machinists Inc. • 1978-1988: Sandblast division lead, Machinists Inc. • 1974-1978: Joined Machinists Inc.
Steve Pollard Manager – Fabrication	• Responsible for the development of Machinists Inc.'s fabrication division. Developed MI's ability to manage complex turnkey assemblies, in addition to working with exotic metals like titanium, Inconel, magnesium and cobalt. • 1988-Present: Fabrication, Machinists Inc. • 1978-1988: Lockheed Shipbuilding

Rick Bradbury QA/QC Manager	• Responsible for implementing Machinists Inc.'s ISO 9001 systems. • 2004-Present: QA/QC Manager, Machinists Inc. • 1998-2004: QA Manager, Lukas Machine • 1986-1998: QA, Boeing
Ken Hillstead Senior Programmer	• Oversees programming department and provides support for sales, shop superintendents, QA and customers to insure that parts are being machined in accordance with specifications and expectations. • 2001-Present: Programmer, Machinists Inc.

III. FINANCIAL PERFORMANCE

The historical financial information presented in this Information Memorandum is based upon the financial statements of the Company, prepared internally in accordance with GAAP, for the period from fiscal year 2013 to September 2016. Additionally, management has provided a forecast for FY 2017. Note that the Company's fiscal year ends 31st December.

The Company realized EBITDA (Earnings Before Interest, Taxes, Depreciation and Amortization) margins of 14.1% in FY2014, 11.1% in FY2015, and 11.7% in FY2016, on revenues of $40.1mm, $35.8mm, and $38.9mm respectively.

Management is projecting revenue for FY2017 of $40.9mm, with EBITDA of $5.2mm.

Summary Financial Information

Charts A and B, on the following pages, illustrate the financial performance and forecast of the Company from FY2013 through to FY2019.

CHART A: SUMMARY STATEMENT OF INCOME

Machinists Inc.
Statement of Income

	2013	2014	2015	2016	2017(f)
Sales	**$ 32,409,269**	**$ 32,231,426**	**$ 28,227,719**	**$ 33,058,391**	**$ 34,182,154**
Cost of goods sold	27,729,723	24,650,062	21,945,498	25,733,966	26,007,114
Gross profit	4,679,546	7,581,364	6,282,221	7,324,425	8,175,040
	14.4%	23.5%	22.3%	22.2%	23.9%
Operating expense					
Selling	1,022,362	694,019	575,445	640,472	700,197
Administrative	3,091,825	2,436,285	1,863,558	1,815,309	1,667,207
Employee bonuses		3,026,010	2,530,363	3,484,181	4,509,579
Depreciation		904,273	789,205	844,160	817,908
Total operating expense	4,114,187	7,060,587	5,758,571	6,784,122	7,694,891
Operating income	565,359	520,777	523,650	540,303	480,149
Other income (expense)					
Interest income	209	-	1,728	-	-
Interest expense	(379,740)	(357,347)	(351,612)	(318,736)	(319,380)
Other income	14,528	47,987	48,921	-	-
Total other income (expense)	(365,003)	(309,360)	(300,963)	(318,736)	(319,380)
Income before tax	200,356	211,417	222,687	221,567	160,769
EBITDA					
Income before tax	200,356	211,417	222,687	221,567	160,769
Interest expense	379,531	357,347	349,884	318,736	319,380
Depreciation	893,107	904,273	789,205	844,160	817,908
Owner excess salary	1,500,000	1,000,000	719,413	1,344,556	1,800,000
Owner personal expenses (est)	150,000	150,000	150,000	150,000	150,000
Other excess bonuses (50%)	1,457,200	622,650	603,600	713,750	884,850
Rent to unused building	-	144,000	144,000	144,000	144,000
Deferred S/H wages	250,000	250,000	250,000	250,000	250,000
Soft repairs (owner related)	1,286,782	799,669	168,391	-	-
Shop bonus	482,800	404,500	353,750	462,125	426,700
Total EBITDA	**6,599,776**	**4,843,856**	**3,750,930**	**4,448,894**	**4,953,607**
	20.4%	**15.0%**	**13.3%**	**13.5%**	**14.5%**

PSC
Statement of Income

		2013		2014		2015		2016		2017(F)
Net sales	**$**	**7,254,573**	**$**	**7,883,089**	**$**	**7,603,102**	**$**	**5,864,703**	**$**	**6,744,408**
Cost of goods sold		5,699,134		6,128,500		6,336,138		5,021,586		5,732,747
Gross profit		1,555,439		1,754,589		1,266,964		843,117		1,011,661
		21.4%		22.3%		16.7%		14.4%		15.0%
Operating expenses										
Selling		439,203		524,767		501,639		440,154		450,000
Administrative		1,037,274		1,122,367		758,196		484,134		490,000
Total operating expen		1,476,477		1,647,134		1,259,835		924,288		940,000
Operating income		78,962		107,455		7,129		(81,171)		71,661
Interest income		-		-		-		-		-
Interest expense		(8,251)		(8,283)		(4,723)		-		-
Other income		6,445		16,745		232		7,756		7,756
Income before tax		77,156		115,917		2,638		(73,415)		79,417
EBITDA										
Net income before tax		77,156		115,917		2,638		(73,415)		79,417
Interest expense		8,251		8,283		4,723		-		-
Depreciation		166,953		177,170		188,799		173,396		180,000
S/H bonus		350,000		345,000		-		-		-
Mgmt bonus		81,700		152,950		30,600		-		-
Other		11,108		18,111		6,380		-		-
Total EBITDA	**$**	**695,168**	**$**	**817,431**	**$**	**233,140**	**$**	**99,981**	**$**	**259,417**
		9.6%		**10.4%**		**3.1%**		**1.7%**		**3.8%**

CHART B: **SUMMARY BALANCE SHEET**

Machinists Inc.
Balance Sheet

	2013	2014	2015	2016
Assets				
Current assets				
Cash	$ 3,211	$ 463,536	$ 3,959	$ 3,959
Accounts receivable	6,042,194	4,247,910	4,368,755	6,287,802
Employee advances	9,849	137,876	129,250	115,125
Inventory	2,905,489	1,694,462	1,883,584	2,319,444
Deposits	16,576	86,760	-	-
Prepaid expenses	280,626	210,442	116,616	104,776
Total current assets	9,257,945	6,840,986	6,502,164	8,831,106
Property and equipment				
Machinery and equipment	14,757,147	15,709,942	15,934,763	16,528,663
Furniture and fixtures	257,137	257,137	283,366	283,366
Autos and trucks	600,106	600,106	600,106	600,106
Leasehold improvements	415,891	415,891	415,891	415,891
Total property and equipment	16,030,281	16,983,076	17,234,126	17,828,026
Less depreciation	(12,648,414)	(13,363,287)	(14,152,492)	(14,944,325)
Net property and equipment	3,381,867	3,619,789	3,081,634	2,883,701
Total assets	**$ 12,639,812**	**$ 10,460,775**	**$ 9,583,798**	**$ 11,714,807**
Liabilities and Equity				
Current liabilities				
Bank line of credit	$ 2,425,621	$ -	$ 103,487	$ 2,042,554
Accounts payable	891,327	690,865	610,160	629,863
Accrued expense	717,856	804,252	454,229	496,566
Federal income tax payable	15,925	14,380	11,170	5,000
Stockholders loans	3,795,888	3,757,680	3,553,296	4,016,021
Current portion of long-term debt	419,000	550,500	577,500	514,053
Total current liabilities	8,265,617	5,817,677	5,309,842	7,704,057
Long-term debt, less current	1,298,828	1,357,488	780,756	271,486
Deferred federal income tax	514,822	492,870	503,086	529,027
Total liabilities	10,079,267	7,668,035	6,593,684	8,504,570
Stockholders equity	2,560,545	2,792,740	2,990,114	3,210,237
Total liabilities and equity	**$ 12,639,812**	**$ 10,460,775**	**$ 9,583,798**	**$ 11,714,807**

IV. APPENDIX

Equipment List:

Lathes	X	Y	Z	Swing
CNC Lathes				
Alfa 1550 XS X4S050	21		120	21.5
Mori-Seiki NL-2500	14		51	14
Mori-Seiki SL-35	16		57	17
Mori-Seiki SL-603	28		78	36.5
Okuma L-370	16		13	14.5
Okuma LB-15	16		10	10
Okuma LB-4000	19		78	20
Manual Lathes				
Hwacheon HL-580	22		60	22
Hwacheon HL-580	22		60	22
Hwacheon HL-460	17		60	17
Lion 20FT	36		19	224
Poreba TPK-80	36		360	36
Poreba TR135	52		472	52
Small CNC Verticals				
(8) Bridgeport EZ-Trak	30	15	5	
Trak Mill 1 DPM SX5	39	14	16	
Trak Mill 2 DPM SX5	39	14	16	
Trak Mill 3 DPM SX5	39	14	16	
HAAS TM-2				
CNC VTL				
New Century / VTL	78		50	84
King / VTL	99		69	98.5
ID/OD Grinders				
Heald	8		48	32
Landis 14 X 36	14		36	14
Landis 14 X 72	14		72	14
Norton 30 X 170	30		170	21
Surface Grinders				
Thompson	8”	24”		

5-Axis	X	Y	Z
Deckel-Maho DMU80	27	24	24
Dinox 350 (FPT)	98	137	51

	X	Y	Z	Max Weight
CNC Vertical Mills				
AWEA 1 SP 3016	120	63	30	22,000
AWEA 2 SP 3016	120	63	30	22,000
AWEA 3 SP 3016	120	63	30	22,000
AWEA 4 SP 4016	157	63	30	
AWEA 5 SP 4016	157	63	30	
AWEA 6 SP 3016	120	63	30	22,000
AWEA VP-2012	78	47	30	7,700
EZ-TRAK	30	15	5	
HAAS VF-3YT-50	40	26	25	
HAAS TM-2	40	16	20	
Matsuura MC-800V	31	17	20	
Matsuura MC900H	36	28	29	
Matsuura MC-1250V	49	21	24	
Okuma-Howa 5-VA	41	22	22	
Tree 1060	40	24	30	
Viper PRO-2150	80	62	30	
Viper HB-4190	155	77	32	

	X	Y	Z	Max Weight
CNC Horizontal Mills				
G&L 1 80DP5	118	86	84	
G&L 5 PC-50 / Plt.2A	98	84	62	
Kuraki KBT-11-WA	78	59	57	14,300
Kuraki KBN-11X	59	47	27	6,600
Nomura BN-110 CR	118	71	51	
Nomura HB-110	78	59	55	
OKK HM500S	24	24	27	
OKK HM500S	24	24	27	
SNK 1 NB-130P	118	78	63	22,000
SNK 2 NB-130PE 3.5	137	98	63	22,000
Toshiba BTD 110R 16	98	70	54	
SNK 3 NB-130PE 3.5	137	98	63	22,000
Conventional HBM				
Nomura BT-100 SR	50	45	43	11,000
Nomura BT-100 SR	50	45	43	11,000
Wotan B 105/120	72	53	57	11,000

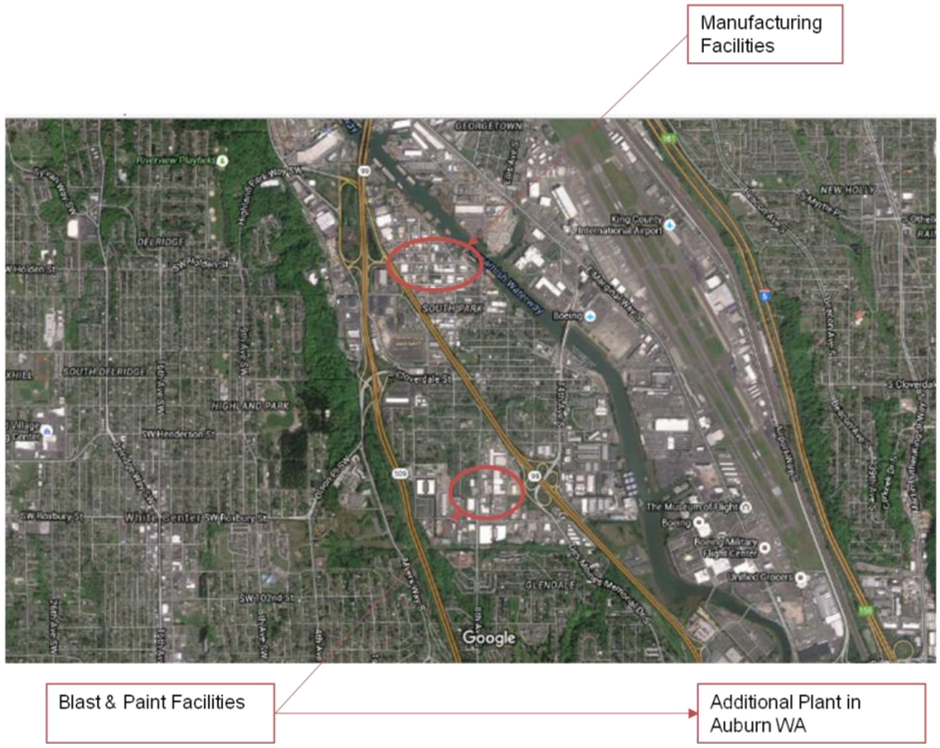
Other Equipment

Hydraulic Presses
300 ton
100 ton
Inspection Equipment
Starrett 4028-24 CMM
Starrett 8040-24 CMM
Leica LTD 500 – Laser Tracker
3 - Infinite Romer ARM CMM's
Nikon-Krypton K-600 Optical CMM
Plant 2A, 2B, 3 & 4 Cranes
2 - 2 ton
4 - 5 ton Fabrication bridge cranes
3 - 7.5 ton
6 - 10 ton
1 - 20 ton, 40' x 200' x 20' hook height high bay
Fork Lift Capacity
5,450 lbs, 10,150 lbs, 15,000 lbs, 65,000 lbs

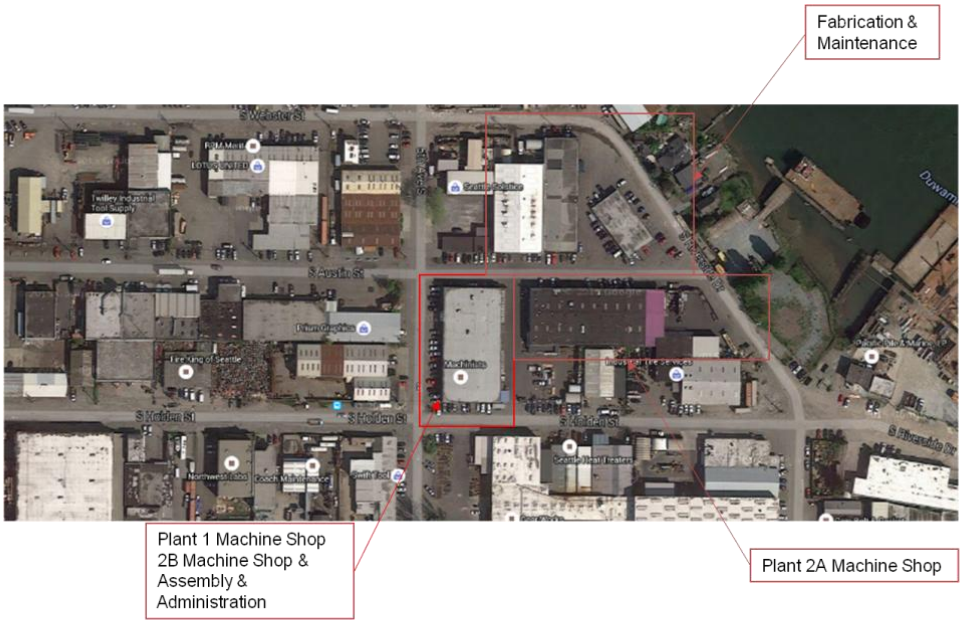
Radial Drill Presses	Travel	Depth
Cincinnati Bickford	36	20
Summit	36	12

<u>Facilities Location:</u>

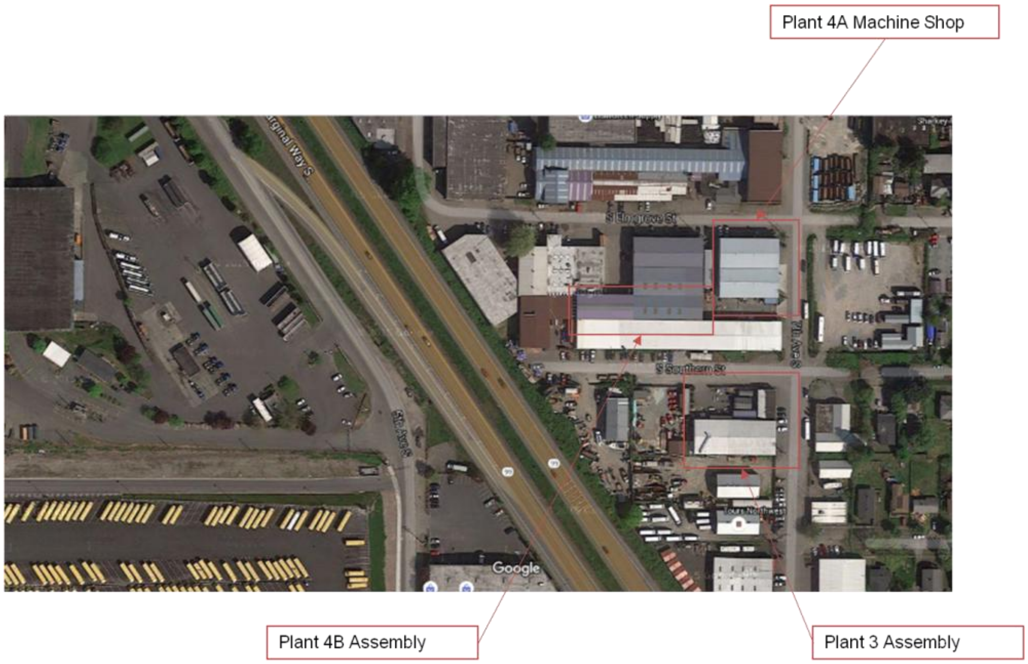
Machinists Inc. Facility Locations
Seattle, WA



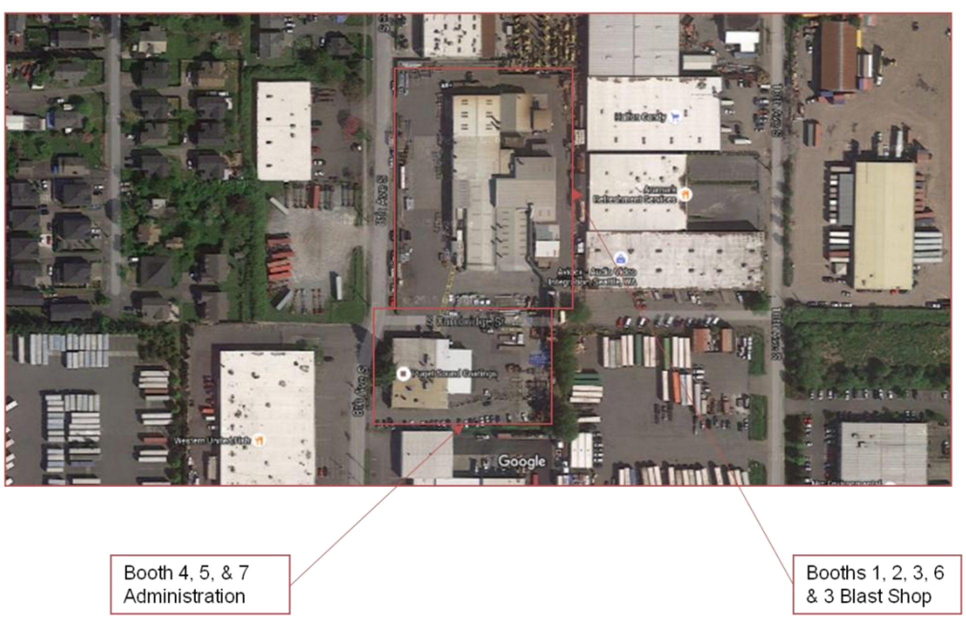
Machinists Inc. Fabrication & Machining Facility Locations
Seattle, WA



<u>Machinists Inc. Assembly & Machining Facility Locations</u>
Seattle, WA



Machinists Inc. Blast & Paint Facility Locations
Seattle, WA

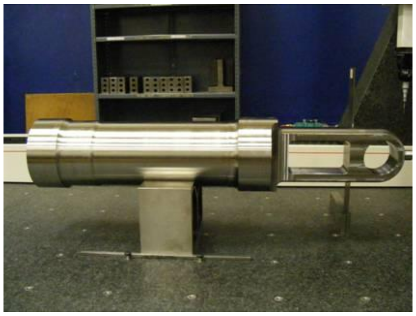


Past and Existing Projects:

MI has undertaken various projects in different industries for different clients. Some of these projects are listed below:

AEROSPACE:

Airbus A380 Parts: Machinists Inc. manufactures the Airbus A380 Main landing Gear Hydraulic Cylinders, these parts are 14 SS 8” DIA x 56” long.



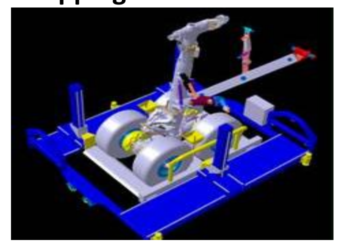
Boeing Tooling: Machinists Inc. manufactures tooling that ranges from over the road transportation equipment to a 40’ wide 200’ long 30’ tall gantry system with the accuracy to place carbon fiber tape at =/- .010 in location accuracy. MI builds on an average 2,000 to 3,000 different projects for Boeing each year.

Aerospace Tooling: Design – Build & Build to Print

F-22 Weapons Bay Door Assembly Fixture

787 Main Landing Gear Loading Fixture

Boeing Rotatable Shipping Fixtures



P-8 Training Consoles

787 Dream Lifter FAA Certified Parts

787 Dream Lifter Tooling: Welded Aluminum Flight Structures

Additional Aerospace Tooling:

Marine and Commercial Manufacturing: MI's work in the Marine Industry mostly comprises of repair and fitting jobs. MI also undertakes construction of Seafood Processing Lines for its clients.



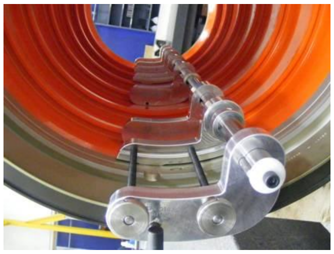

Genie Industries: Machinists Inc. manufactures all the Center Pivot Bearing assemblies and Link Arms for the larger Genie Man lifts. Typical size ranges from 1' x 4' x 4' to 2' x 6' x 8'. These are ongoing projects with daily deliveries.


Lawrence Livermore National Labs: Machinists Inc. manufactures many configurations of various equipment utilized in the Beam Testing labs in California. The equipment varies from houses that are 8' x 8' x 36' in dimension with a vacuum tight leak test requirement to items that can fit into the palm of a hand.



Various Hydro-Electric Power plants: Machinists Inc. has rebuilt several turbine and head cover sections of multiple power plants, involving complete repair and overhaul of the working and water surfaces back to original manufacture condition.

Department of Navy: Machinists Inc. is in the middle of a multi-year contract for several hundred Torpedo Fuel Tanks. These tanks are made from 7075 Forged Aluminum approximately 24" in diameter and 60" long. These fuel tanks require a high-end Powder Coat finish.



Lockheed Martin: Machinists Inc. manufactures the body for an unmanned submarine used as a mine detector. These parts are 4' in diameter and each of the 6 sections are 5' in length. The total length of the submarine is about 30'.

Clock One: Machinists Inc is an integral part of the Clock One (Long Now) project. Clock One is a 10,000 year clock that is being installed on a mountain side. MI is manufacturing all of the internal clock gears for this project which are large high tolerance stainless steel parts.